Manage your people in **DISRUPTIVE TIMES**

A more inclusive style of leadership is required to counter the challenges of these times.

Most organizations across the globe today are attuned to the urgent need to transform their business and operating models, in light of current developments in business and politics, and the entire world braces itself for an uncertain future in the economic aftermath of the global pandemic. The way we run our businesses has changed dramatically, and tomorrows will bring about a lot more substantial disruptions. As a matter of fact, tomorrow's shifts will be dramatic in all dimensions of business, and such shifts will create several futures.

The impact will be humongous or devastating on the way we are dealing with the most precious assets, our people, and unfortunately we cannot envisage it, but we can maybe anticipate it. We may foresee changes in people's attitude and behavior due to such changes.



FROM EGYPT

BY PROF. DR M AMR SADIK

Chairman and CEO of Quodrat Egypt

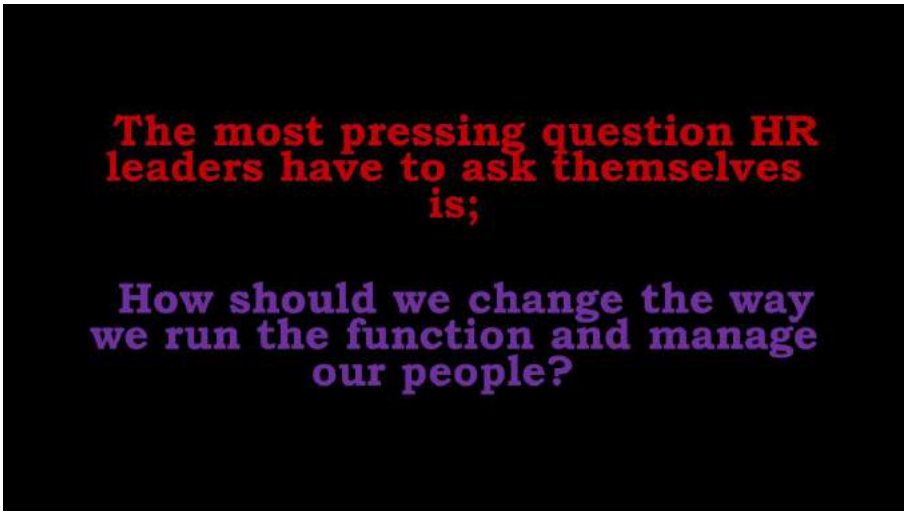
TRYING TIMES

We are in the midst of a global economic slowdown. Since the last financial turmoil in 2007/2008, and as a consequence of the financial meltdown, organizations are working in a confusing world as a new world business order began to appear and was implemented. The portrait of this new world business order begin to take place with the Coronavirus pandemic, probably earlier, and was followed by a reduction in salaries and wages as well as massive layoffs and downsizing, coupled with great resignations due to a slowdown in the economy, business, the currency war and, last but not least, the Russian/Ukraine war.

Take a quick look at what has happened due to COVID-19 pandemic that impacted the following facets of HR function on a broader landscape:

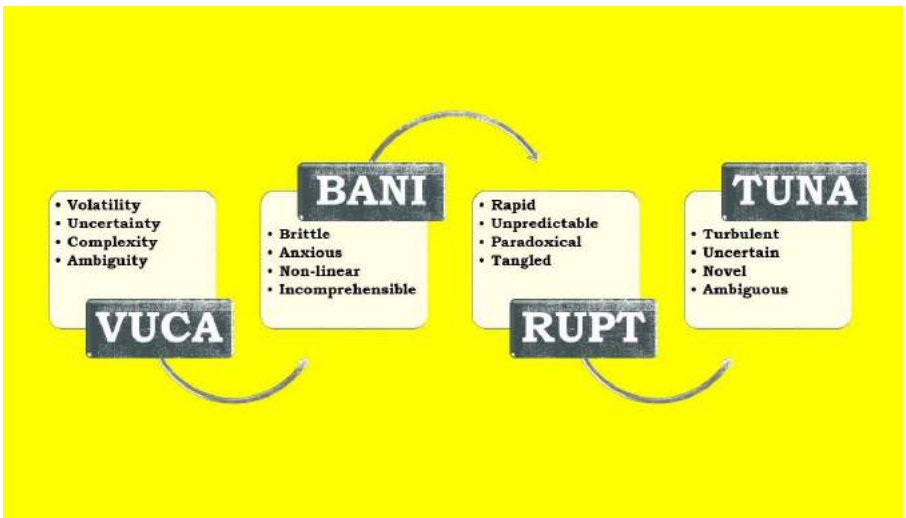
- Compliance of Government instructions and mandates;
- Adapting to remote work arrangements;
- Safety of employees and their families;
- Performance Management activities; remote working or operating with reduced workforce resulted in a challenge of managing employee productivity. Many industries saw a sharp fall in employee productivity which further reduced organization revenues;
- Employee Engagement activities; lockdowns and remote work arrangements had an adverse effect on employee morale; and
- Training and Development; there should be learning platforms, and not just traditional methods of learning for employees to cope with the changing environment, like peer-to-peer coaching in the organization.

The pandemic and the biggest health crisis in decades have mixed everything up once more, generating new feelings that are again destabilizing for people. Now we have digital transformation and the fast introduction of AI. Let us see how HR can thrive and survive in such times.



WINDS OF CHANGE

The world has moved beyond volatility and complexity towards chaos, and no-one can comprehend what the competition will do or will look like. The world order has greatly changed. A new way of doing things is now more chaotic.



The four letters in TUNA stand for Turbulent, Uncertain, Novel, Ambiguous. The word was introduced in 2016, and the acronym is used in an executive education program at Oxford University.

To manage well in such times, HR Practitioners have to do something different or simply manage better and the answer lies in the latter. The basic issues of HR management are the same for all organizations and at all times. It is just that in hard times, during a downturn and where there is turbulence, it is all the more important, and more complex.

The current business environment provides us with an opportunity to develop a new approach to situations and things. Organizations need to relook at the way they function and rework their strategies so that they are ready to cope with this new world order.

In 2021, Davos Forum Founder and Executive President Klaus Schwab stressed that a "Great Reset" of capitalism was necessary. "We need to move from a world that is based simply on material goals to one that is much more aware of people's wellbeing," he said. How can we live in a chaotic world? How can we successfully meet the current and future challenges and face stress in a healthy way?

THE SURVIVORS

Generally speaking, in disruptive times, most decisions are mainly focused on laying people off. So that, people are not, then, a great asset but, rather, a great liability and, too often, HR as well as managers look for easy or quick solutions in bad times.

But, until we shift our thinking and our mindsets as HR Practitioners, until we can learn to truly define the problems, we are facing, and until we can learn to move past the application of outdated and outmoded practices to new and evolving challenges, we will fail to be as effective or impactful in pushing through the change forces that we continue to face now and in the future.

The types of challenges that we face now and will face in the future are no longer fixed and easily identified. They are much more intricate and complex, and require different thinking, deeper understandings and new skill-sets for HR Practitioners.

In 2021, we learned to be more flexible, enable workers to do their jobs with more autonomy and in new ways, and to be more human-centric, bringing a stronger focus on empathy, care, and wellbeing at work. In 2022, we faced



cringe in business and economy due to the recent war situation, and with a constrained labor force, hybrid work is now an accepted business practice, with almost every company reinventing where to work and how. We are entering the Metaverse World. Employees are expressing their interest in such arrangements.

However, there are still many leaders who prefer their teams back in the office. Moreover, a new set of skills is required by people with calls from organizations to invest in learning. AI is being implemented for talent acquisition, and there is an intense focus on employee experience with it becoming mainstream. Finally, we have the Great Resignation.

The old debate about HR having a seat at the table is now over. Every single business issue comes down to a discussion about people, and we, as HR leaders, need to keep pushing ahead.

The new world business order has shown us that we've moved from a world of more static technical problems to one that is evolving and oriented towards more and more adaptive challenges, meaning that what has worked for leading organizations previously, what has been effective for a more traditional and well-ordered world, will not necessarily be as effective or viable now and later.

Surviving and thriving in the current world that is constantly changing, becoming more unstable each day, where changes big and small are becoming more unpredictable, they're getting more and more dramatic and events unfold in completely unexpected ways. It's becoming impossible to determine cause and effect, requiring new set of skills and competencies from practitioners, who should imbibe and convert their current skills and competencies that will help their organizations to:

- create a culture and environment of openness which values discovery, diverse perspectives and experimentation;
- Detect and identify the weak signals that predict and foretell changes in business, or opportunities enabled by new technology;
- Conduct interactive dialogues that put new ideas into the context of the company's work, and translate new information into differentiating capabilities;
- Unpack business challenges to reveal the learning gaps for individuals, teams and the organization's practices, processes and systems; and
- Strengthen thoughtful decision-making in the organization.

Flexibility is the thread connecting 2022's HR trends. The past few years have proved that companies must adapt to survive the constantly changing circumstances brought about by the ongoing COVID-19 pandemic.

In order to deal with the new world we could think of adopting the acronym RAAT!

RESILIENCE

If organizations possess a high level of organizational resilience, they can overcome challenges much more successfully. In this context, resilience describes the ability to return to the original state quickly and without permanent damage.

> **UNTIL WE SHIFT OUR THINKING AND OUR MINDSETS AS HR PRACTITIONERS, UNTIL WE CAN LEARN TO TRULY DEFINE THE PROBLEMS, WE ARE FACING, AND UNTIL WE CAN LEARN TO MOVE PAST THE APPLICATION OF OUTDATED AND OUTMODED PRACTICES TO NEW AND EVOLVING CHALLENGES, WE WILL FAIL TO BE AS EFFECTIVE OR IMPACTFUL IN PUSHING THROUGH THE CHANGE FORCES THAT WE CONTINUE TO FACE NOW AND IN THE FUTURE.**

ATTENTION

If we pay close attention to what we listen to and what we spread, we can meet this new characteristic of anxiety with clarity and self-awareness.

ADAPTATION

We can adapt to different situations and think and act accordingly. We are dependent on our adaptability in order to function in a non-linear world. If results are not to be calculated, we try in vain to derive effects from causes. The best strategy here is to adapt.

TRANSPARENCY

Transparency is an effective remedy against incomprehensible behavior. This is especially true in a standardized structure in which knowledge is rather used as a status instrument. However, knowledge alone is also not an appropriate solution. For functioning knowledge management in the company it takes sensible filters to be able to process the flow of information.

CONCLUSION

In the end, challenges are gifts that force us to search and think for new ways in managing our people. The Human Resource function is operating in as completely different business world which is going to be around longer than we anticipated. The solution to tackle BANI is in being human-centric

Research (McKinsey & Co., 2021) shows that the skill building efforts after the COVID-19 pandemic have focused particularly on two areas: social and emotional skills, and advanced cognitive skills. These two areas show the biggest growth compared with 2019.

The message is very clear: the current business world cannot be managed with technical skills only, we need people skills to cope, and we need to balance them in organizations and in individuals. Concepts that were advocated by management gurus such as Steiner, Drucker and Porter paled in the face of such disruptive times. Make sure your organization is ready for the future, whatever comes.

The new business environment demands that HR Practitioners should avoid traditional and outdated styles of leadership in such a disruptive environment. ■

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